EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Faire was founded on November 27, 1897 and got its name in honor of its founder, Captain Miguel Faire by virtue of Executive Order No. 2390 dated February 28, 1932. Sometime in December of 1971, during the incumbency of then Mayor Leandro Pagurayan, a resolution was passed changing the name Faire to Sto. Niño.

The objectives of the Municipality of Sto. Niño are to implement development projects and programs to increase tax revenues thru better collection procedures and measures. In line with these objectives, the Local Chief Executive and the Sangguniang Bayan Members, thru the Presiding Officer committed themselves to the delivery of the basic services to their constituents that are geared towards the development of the municipality as a self-reliant community.

For CY 2021, the Municipality of Sto. Niño had a total of 259 personnel complement with 101 permanent, 12 elective, 3 co-terminus, 23 casual and 120 job order status.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Sto. Niño, Cagayan for CY 2021 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year-ended December 31, 2021, with comparative figures for CY 2020 are as follows:

	2021	2020	Increase (Decrease)
Financial Position			
Total Assets	528,892,906.56	481,033,213.26	47,859,693.30
Total Liabilities	124,797,091.44	131,925,872.44	(7,128,781.00)
Total Government Equity	404,095,815.12	349,107,340.82	54,988,474.30
Financial Performance			
Total Income (Includes Subsidy from Other Funds)	212,524,825.18	189,806,177.11	22,718,648.07

Total Expenses (Include Total Operating Expenses, Interest Expenses, Subsidy to Other Funds and Donations)	154,172,322.50	127,319,290.69	26,853,031.81
Appropriations, Allotments and Obligations			
Total Appropriations – Current	204,284,509.75	205,499,127.00	(1,214,617.25)
Total Obligations - Current	175,362,755.69	149,630,370.66	25,732,385.03
Total Appropriations - Continuing	80,831,954.35	57,406,872.30	23,425,082.05
Total Obligations - Continuing	24,259,328.32	9,551,190.97	14,708,137.35

The Municipality received fund transfers from other agencies totaling P2,774,103.00 and there had been no transferred funds to barangays during CY 2021 with comparative figures for CY 2020, as follows:

	2021	2020	Increase (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	2,674,103.00	39,802,427.18	(37,128,324.18)
Local Government Units	100,000.00	200,000.00	(100,000.00)
Non-Government Organizations/Peoples Organizations (NGOs/POs)	-	-	-
Funds Transferred to:			
Local Government Units	-	-	-
Total	**2,774,103.00**	**40,002,427.18**	(37,228,324.18)

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements as of December 31, 2021 of Sto. Niño, Cagayan due to the effects of the noted deficiencies on the balances of some accounts, as summarized in the succeeding paragraphs and as discussed in detail in part II of the report.

D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations, which were not discussed with the concerned Management officials in an exit conference because of the pandemic:

1. **The accuracy and propriety of the Cash in Bank - Local Currency, Current Account (LCCA) amounting to P175,237,885.93 is doubtful due to the: (a) non-preparation of Monthly Bank Reconciliation Statements; and (b) difference of P22,062,013.91 with the amount presented in the bank confirmation contrary to Sections 112 of PD 1445, and COA Circular No. 96-11 dated October 2, 1996.**

We recommended that the Municipal Accountant:

a. Prepare and submit monthly Bank Reconciliation Statements of all its depository bank accounts, take up reconciling items, and effect adjustment in the GL to ensure the correct balance of the Cash in Bank accounts; and

b. Provide the details of balances for each Cash in Bank account in the Notes to Financial statements.

2. **The accuracy and reliability of Real Property Tax Receivables and Special Education Tax Receivables amounting to P13,019,493.91 and P26,041,727.30, respectively, could not be ascertained due to non-reconciliation with its reciprocal accounts, Deferred Real Property Tax Income and Deferred Special Education Tax Income, respectively contrary to Section 20, Chapter 3, Volume I of the Manual on the NGAS for LGUs.**

   We recommended that the Municipal Accountant to effect the necessary adjusting journal entries to correct the balances of the said accounts in order to reflect the accurate amount in the Financial Statements. Moreover, we recommend that the Office of the Municipal Accountant closely monitor all accounts in order to avoid errors in recording.

3. **The accuracy and validity of the accounts presented in the Financial Statements could not be ascertained due to the non-maintenance of Subsidiary Ledgers contrary to Sections 111 and 114 of Presidential Decree (PD) No. 1445.**

   We recommended that the Municipal Accountant prepare and maintain subsidiary ledgers of each account to support the general balances reflected in the Financial Statements in accordance with Section 111 and 114 of PD No.1445.

4. **Claims for Assistance to Individuals in Crisis Situation (AICS) totalling to P1,283,000.00 were granted in variable amounts due to lack of a well-defined guideline on the grant of financial assistance, contrary to Section 2 of PD 1445, hence may resulted in disparity of amount given to individual recipients.**

   We recommended that the Management request the Sangguniang Bayan to enact a resolution prescribing the policies and guidelines on the grant of financial assistance (AICS) in compliance with Section 2 of PD No. 1445 as a basis in the grant of amount allowed to be given to certain individual/recipient.

E. Summary of Total Suspensions, Disallowances and Charges

The status of Suspensions, disallowances and charges as of December 31, 2021 is summarized as follows:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions	5,540,377.58	-	-	5,540,377.58	0%
Disallowances	4,233,556.04	-	-	4,233,556.04	0%
Charges	-	-	-	-	0%
Total	**9,773,933.62**	**-**	**-**	**9,773,933.62**	

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in CY 2020 Annual Audit Report are summarized as follows:

Implemented		18
Not Implemented	20	
Not Implemented and Reiterated in CY 2021 AAR	8	28
Total		**46**